

Not Well Endowed...

SINCE 1985, YALE'S endowment has been academia's gold standard. Long before it was fashionable, the Yale Model was rich with alternative investments, including private equity, commodities, and real estate—assets that weren't plain vanilla stocks and bonds. Developed by David Swensen and his colleague Dean Takahashi, the Yale Model was the envy of the Ivies.

The success of the Yale Model led to lots of copycats. Without Swensen's unique talents, other schools could duplicate the look but not quite the feel of Yale's endowment investments.^{[291](#)}

Yale's success long frustrated long-time rival Harvard Management Company and led them to seek a successful rival strategy. They found one in Jack Meyer, who, over his 15-year run at HMC, completely transformed how Harvard managed its assets. Meyer grew the endowment from \$4.8 billion in 1990 to \$25.9 billion in 2005.^{[292](#)} His annualized return was 16% over ten years and he consistently beat his benchmark using an active strategy that took advantage of the endowment's nonprofit status and long-term perspective.

Long before high-frequency trading became popular on Wall Street, HMC, under Meyer, had mastered it. In 2005, *Fortune* reported, "120 or so people who work there are masters of short-term trading, initiating as many as 250,000 transactions a year. Their bets have often focused on undervalued situations and arbitrage opportunities in global stock and bond markets."^{[293](#)}

However, Harvard's endowment then went on to become a problem student. What went wrong? It was once one of the best in not just the Ivies but *all* colleges. The problems were caused by a combination of academic hubris and political correctness; this led to a series of terrible—and expensive—decisions.^{[294](#)}